

Dollar at 13-Month High: The CRE Capital Stack Just Got More Expensive

A stronger dollar and rising rate expectations compress liquidity for cross-border investors and domestic borrowers alike.

The dollar hit a 13-month high this week, and the force behind it is not American economic exceptionalism. It is foreign capital chasing the AI boom and pricing in a Fed rate increase later this year. For commercial real estate, the signal is not about currency markets. It is about the cost and availability of capital for every asset class. A stronger dollar is not neutral.

It compresses the returns that foreign investors earn on US real estate when they hedge currency exposure. It raises the effective cost of dollar-denominated debt for international buyers. And it reinforces the Fed's tightening bias, which keeps the entire capital stack under pressure. According to the Washington Post, the dollar's rally is being driven by foreign investors drawn to US tech equities and the prospect of higher short-term rates.

The same capital that flows into Treasuries and AI stocks is capital that might otherwise flow into US office towers, apartment portfolios, and industrial warehouses. When that capital chooses liquid, dollar-denominated assets over illiquid real estate, the bid for CRE narrows. The market implication is straightforward. Cross-border equity, which has been a meaningful source of liquidity for US CRE, becomes more expensive to deploy.

A European pension fund underwriting a 7 percent unlevered return on a US industrial asset must now account for a stronger dollar that erodes the euro-denominated return. The hedge costs more. The hurdle rises. The deal either reprices or dies. For domestic borrowers, the dollar's strength is a proxy for tighter monetary conditions. If the Fed follows through on a rate increase, the cost of floating-rate debt rises again.

Maturities that were already stretched become harder to refinance. Lenders who were already cautious about office and retail become even more selective. The window for new financing narrows. Who benefits? Sellers who already closed. Borrowers who locked fixed-rate financing before the dollar and rates moved. And sponsors with all-cash bids or domestic equity that does not need to hedge.

They face less competition from foreign capital, which means they can underwrite to a lower basis. Who is exposed? Owners with maturities in the next 12 months, especially those relying on foreign equity partners or cross-border joint ventures. Developers with construction loans that need to be refinanced into permanent debt. And any sponsor whose business model depends on a steady flow of international capital into US real estate.

That flow is not stopping, but it is becoming more expensive and more selective. The dollar's rise is not a CRE story in isolation. It is a capital markets story that transmits directly into CRE through three channels: the cost of foreign equity, the cost of dollar-denominated debt, and the opportunity cost of capital that chooses liquid assets over illiquid ones. All three channels are tightening.

The next phase of the market will not be defined by who owns the best story. It will be defined by who controls the cheapest capital. A stronger dollar makes that capital harder to find.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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